UNIT II · FINANCIAL MARKETS

Capital Markets

Functions · Organisation · Instruments · Primary & Secondary
Indian Equity & Debt Markets · Role of Stock Exchanges

Handout Notes for B.Com Students

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1. Learning Outcomes

- Define the capital market and distinguish it from the money market.
- Explain organisation, functions and major participants.
- Describe equity, debt, hybrid and collective instruments.
- Differentiate primary and secondary markets with examples.
- Understand Indian equity and debt market structure and recent trends.
- Explain the role of NSE, BSE, SEBI, depositories and clearing corporations.

2. Definition & Key Characteristics

Definition: The Capital Market is the market for long-term funds (typically maturity > 1 year) where equity, bonds, debentures and related instruments are issued and traded. It channels savings into productive long-term investment.

- **Long-term** – Equity has no maturity; debt usually > 1 year.
- **Higher risk–return** than money market.
- **Two segments** – Primary (new issues) and Secondary (trading).

3. Capital Market vs Money Market

Parameter	Money Market	Capital Market
Tenor	≤ 1 year	> 1 year
Purpose	Liquidity & working capital	Long-term investment & growth
Risk	Low	Higher
Instruments	T-bills, CP, CD, Call, Repo	Shares, Bonds, Debentures, MFs
Main Regulator	RBI	SEBI (mainly)
Participants	Mostly institutions	Retail + Institutions

4. Functions

- Mobilisation of savings into productive investment.
- Capital formation for companies and governments.
- Liquidity provision via the secondary market.
- Continuous price discovery.
- Risk sharing and diversification for investors.
- Corporate governance and market discipline for listed firms.

5. Organisation & Participants

Primary Market – New issues; proceeds go to the issuer (IPO, FPO, Rights, QIP, Private Placement, OFS).

Secondary Market – Trading among investors; issuer receives no money; provides liquidity and price discovery.

Key Participants: Issuers, Investors (retail, mutual funds, FPIs, insurance, pension), Intermediaries (merchant bankers, brokers, registrars), Market Infrastructure (exchanges, clearing corporations, depositories), Regulators (SEBI, RBI, MCA), Credit Rating Agencies.

6. Instruments

- **Equity** – Equity shares, Preference shares (ownership).
- **Debt** – G-Secs, SDLs, Corporate Bonds, NCDs, Debentures.
- **Hybrid** – Convertible debentures, REITs, InvITs.
- **Collective** – Mutual Fund units, ETFs, AIFs.
- **Derivatives** – Futures, Options (risk management / leveraged exposure).

7. Primary Market Methods

IPO, FPO, Rights Issue, Preferential Allotment, QIP, Offer for Sale (OFS), Private Placement of debt. Book building (price discovery within a band) is the dominant IPO method in India today.

8. Secondary Market & Trading

Order matching on exchange (price-time priority) → Clearing Corporation becomes central counterparty → Settlement (currently T+1) through depositories (NSDL/CDSL). Dematerialised holding is mandatory for trading.

9. Indian Equity & Debt Markets

- **Equity** – NSE (largest by volume) and BSE (Asia's oldest, large listed universe) dominate. Strong retail participation via SIPs; India among top global IPO markets.
- **Debt** – G-Sec market (RBI) is deep; corporate bond market still developing. SEBI reforms: EBP platform, issuer outreach, retail incentives.

10. Role of Stock Exchanges & SEBI

Exchanges provide trading platform, price discovery, liquidity, listing standards and surveillance. They are Market Infrastructure Institutions (MIIs).

SEBI (SEBI Act 1992) protects investors, develops the market and regulates intermediaries and MIIs. Key tools: LODR (continuous disclosure), ICDR (issuance), registration, inspection, adjudication. Securities Markets Code 2025 aims to consolidate the legal framework.

11. Practical Corporate & Investor Use

Company: Raise permanent capital via equity routes or long-term debt via bonds/NCDs; choice depends on cost, dilution and covenants.

Investor: Open Demat + Trading account → invest directly or via mutual funds/SIPs → monitor corporate actions.

12. Key Takeaways (One-Minute Revision)

1. Capital market = long-term funds; Money market = short-term.

2. Primary creates securities and gives money to issuer; Secondary provides liquidity.

3. SEBI is the apex capital-market regulator; RBI oversees G-Secs.

4. NSE and BSE are the two dominant stock exchanges.

5. Equity = ownership; Debt = contractual claim.

6. Book building is the main IPO pricing method in India.

7. Demat accounts and T+1 settlement are operational foundations.

8. Corporate bond market development remains a key policy priority.

13. Discussion / Exam Questions

Q1. Distinguish between primary and secondary markets with examples from the Indian equity market.

Q2. Explain the role of stock exchanges in the Indian capital market.

Q3. Why is a well-functioning secondary market essential for the success of the primary market?

Q4. Compare the Indian equity market with the corporate bond market in terms of depth and liquidity.
Q5. Outline the main functions of SEBI and the tools it uses to protect investors.
Q6. How can a manufacturing company use the capital market to finance a large expansion project?

These notes accompany the full lecture presentation on Capital Markets. Use both together for complete preparation.

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